

HOW TO IMPROVE STATE EFFECTIVENESS

In Latin America and the Caribbean



Authors

Sandra Naranjo Bautista, Edgardo Mosqueira,
Phil Keefer and Marcelo Paz.



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What Is State Effectiveness?

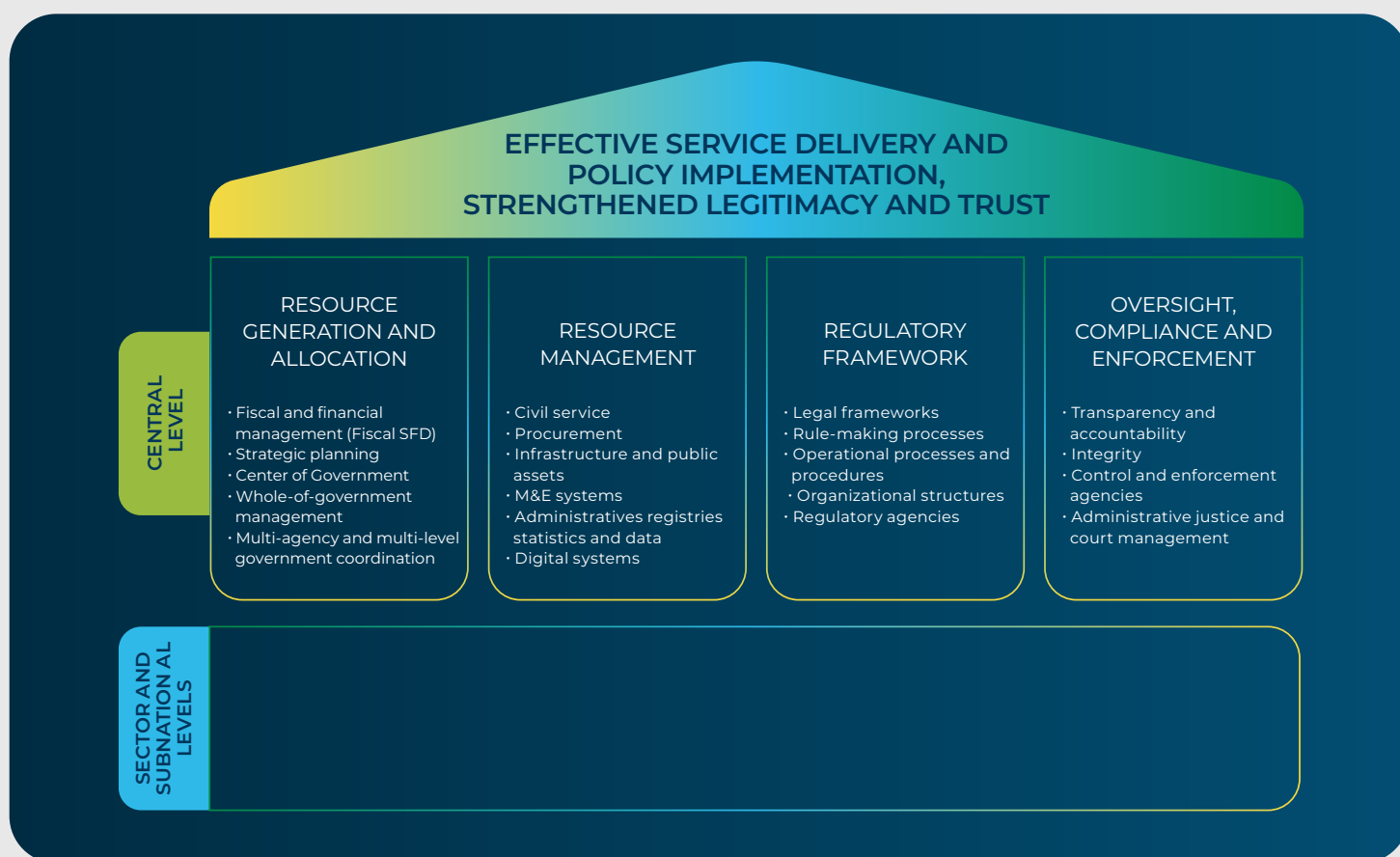
State effectiveness refers to a government's ability to design and implement policies effectively, enforce laws impartially, and deliver public services efficiently. It means that public agencies have the technical and administrative capabilities, the authorizing environment, and the accountability frameworks needed to fulfill their mandates.

Achieving state effectiveness requires key government functions to operate efficiently. The IDB Group's State Effectiveness Framework groups these functions into four interconnected dimensions:

- 1 Resource generation and allocation:** government functions aimed at making resources available and allocating them strategically to fulfill priorities and deliver outcomes.
- 2 Public sector management capacity:** government functions that manage and monitor the effective use of public resources—human, financial, data, technological, and infrastructural—to implement policies effectively.
- 3 Regulatory frameworks:** government functions that establish clear, impartial rules to promote fair competition, protect citizens, and create a predictable environment for investment and innovation.

- 4 **Oversight and enforcement:** government functions that ensure that laws and rules are upheld through transparency, integrity, and impartial enforcement —building public trust.

These functions must operate across the entire public sector—from central government “middle and back offices” to sectoral and subnational agencies that serve as the “front office” of the state—delivering services directly to citizens. Effective policies and reforms connect upstream policy capacity with downstream implementation, ensuring that national priorities translate into real outcomes for people.



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Why State Effectiveness Matters

State effectiveness¹ is the foundation for achieving development outcomes, as it creates the conditions for growth, inclusion, and resilience. Strong institutions ensure that governments operate efficiently and effectively under clear and consistently enforced rules that apply equally to all.

Institutions are central to addressing Latin America and the Caribbean's (LAC) biggest challenges:

- They shape the public policies and investments that drive economic growth, reduce poverty and inequality, and strengthen climate resilience—and ensure these are effectively implemented.
- They provide the rule of law—a predictable and impartial environment that helps firms decide where, how, and how much to invest.
- They determine sectoral outcomes that affect everything from health and education to infrastructure and climate action.

Yet the region's government effectiveness and the rule of law have declined over the past decade (**Figure 1**), with wide variation across countries (**Figure 2**).

¹ This document addresses institutional capacity and rule of law as interconnected pillars, together contributing to the overarching goal of state effectiveness.

Trust in government remains low. Strengthening state effectiveness is not optional—it is essential to delivering on the region’s development goals.

Figure 1

Percentile Rank for Key State Effectiveness Indicators

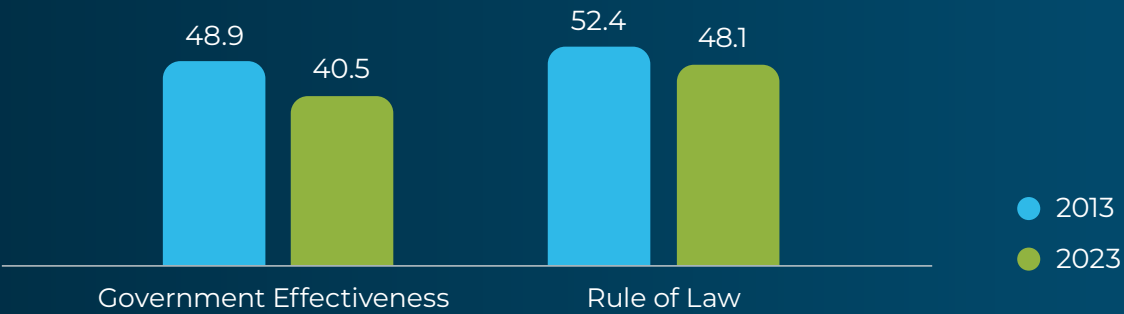
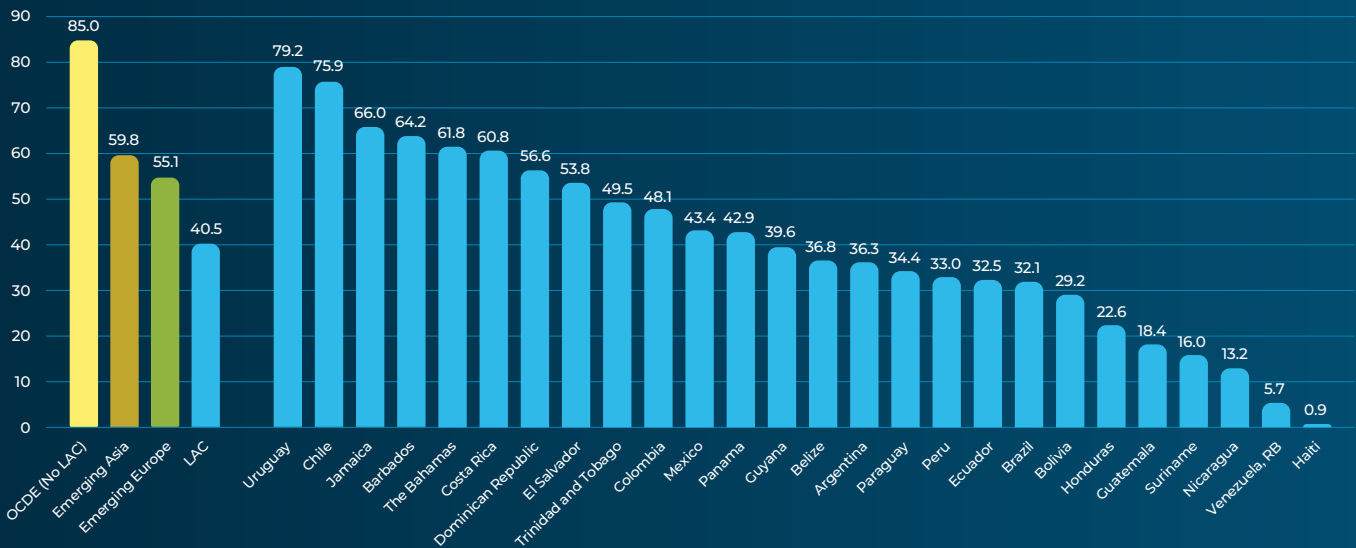


Figure 2

Government Effectiveness in Latin America and the Caribbean, 2023

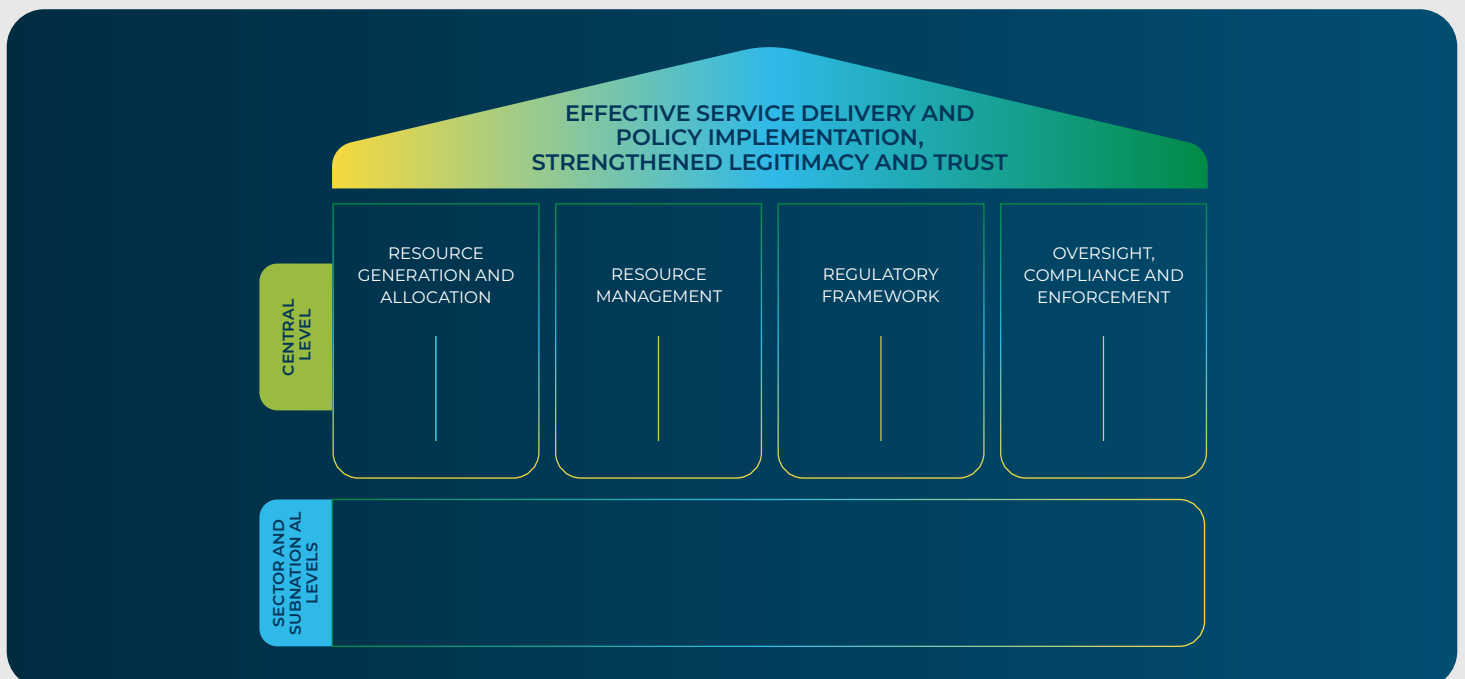


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Five Strategic Opportunities to Strengthen State Effectiveness in Latin America and the Caribbean

The IDB Group's State Effectiveness Framework identifies five areas where governments can enhance efficiency, effectiveness, and the rule of law in policy development. The IDB acts as a strategic partner in this effort. While the first four areas reflect dimensions of state effectiveness, the fifth addresses their impact on service delivery and policy implementation at the sectoral and subnational levels. This document focuses on the first four.



Opportunity 1:

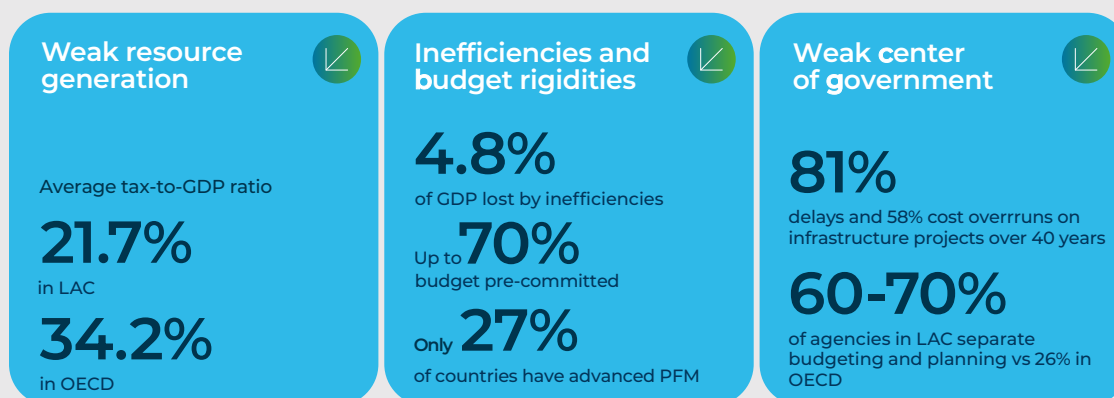
Smart Resource Generation, Allocation, and Strategic Planning

FROM REVENUE COLLECTION TO STRATEGIC INVESTMENT

The region is characterized by structurally weak resource generation, persistent inefficiencies and budget rigidities, and poor strategic management, all of which undermine the effectiveness of public spending. Reversing this reality requires building strong institutions scaffolding to effectively mobilize financial resources and direct them toward implementing policies, delivering services, and achieving broader development objectives.

Figure 3

Key Characteristics of Latin America and the Caribbean Regarding Resource Generation and Allocation



► Strong resource generation and allocation require

Modernizing tax administration:

The region's average tax-to-GDP ratio was 21.7 percent in 2021—below the OECD average of 34.2 percent (OECD and IDB, 2024a; see Figure 2). It relies heavily on value-added tax (VAT) and corporate income taxes, while more efficient and less distortionary options—such as property or green taxes—remain underutilized. High statutory rates, widespread exemptions, and compliance costs erode trust and fuel evasion. Despite progress in digitalization, tax administration remains

weak, and the rising debt burden, compounded by unrecorded contingent liabilities, has amplified macroeconomic vulnerability, underscoring the need for more effective and equitable resource generation strategies.

Improving the efficiency of public spending:

LAC countries face significant technical and allocative inefficiencies of up to 4.6 percent of GDP. Public budgets remain highly rigid, with up to 70 percent of spending allocated to expenditures that are legally mandated or politically difficult to adjust. These rigidities limit fiscal space and often shift the burden of adjustment to public investment. Weak public investment management and the fact that only 27 percent of LAC countries report advanced public financial management (PFM) capabilities further constrain spending effectiveness and erode public trust.

Integrating strategic planning, budget execution, and monitoring and evaluation (M&E) systems:

Strategic planning in LAC is fragmented, poorly linked to budgets, and rarely based on credible costing, undermining policy coherence and execution. The center of government (CoG) plays a pivotal role in aligning plans, budgets, and M&E systems, but its capacity and authority vary across countries. Whole-of-government coordination is gaining ground in LAC but remains fragmented and uneven. Only 44 percent of governments reported that their CoG actively coordinates long-term planning across ministries.

Address sectoral and subnational fiscal weaknesses:

Fragmented financing, poorly targeted subsidies, and rigid budgets limit investment in priorities such as early childhood development and water and sanitation, while weak investment planning often leaves projects misaligned with climate, trade, and territorial needs. At the subnational level, property tax revenues average just 0.4 percent of GDP, debt stands at 3 percent (compared to 12 percent in the OECD), and inefficiencies reach 2 percent of GDP in decentralized systems. Strengthening fiscal decentralization, subnational revenue capacity, and intergovernmental coordination is essential to aligning resources with development needs and improving resilience.

► Where to Focus

Area	Measures we support
Modernize tax administration	• Strengthen governance with anti-corruption safeguards, effective leadership, and cross-agency collaboration • Promote the digital transformation of tax administrations
Public spending	Strengthen expenditure quality governance through: • Robust medium-term expenditure frameworks (MTEFs) • Strategic budgeting linked to planning, monitoring, and evaluation (M&E) systems • Effective enforcement of fiscal rules for public investment and fiscal risk management
Strategic management	• Enhance the CoG's capacity to lead national priority-setting, cross-government coordination, and monitoring • Develop whole-of-government approaches in the policy-making cycle and resource management functions to foster synergies and complementarities • Strengthen coordination across sectors and levels of government

Opportunity 2: Stronger Public Administration Management Capacity

AT THE CORE OF IMPLEMENTATION LIES THE NEED TO ENHANCE GOVERNANCE, EFFICIENCY, AND EFFECTIVENESS

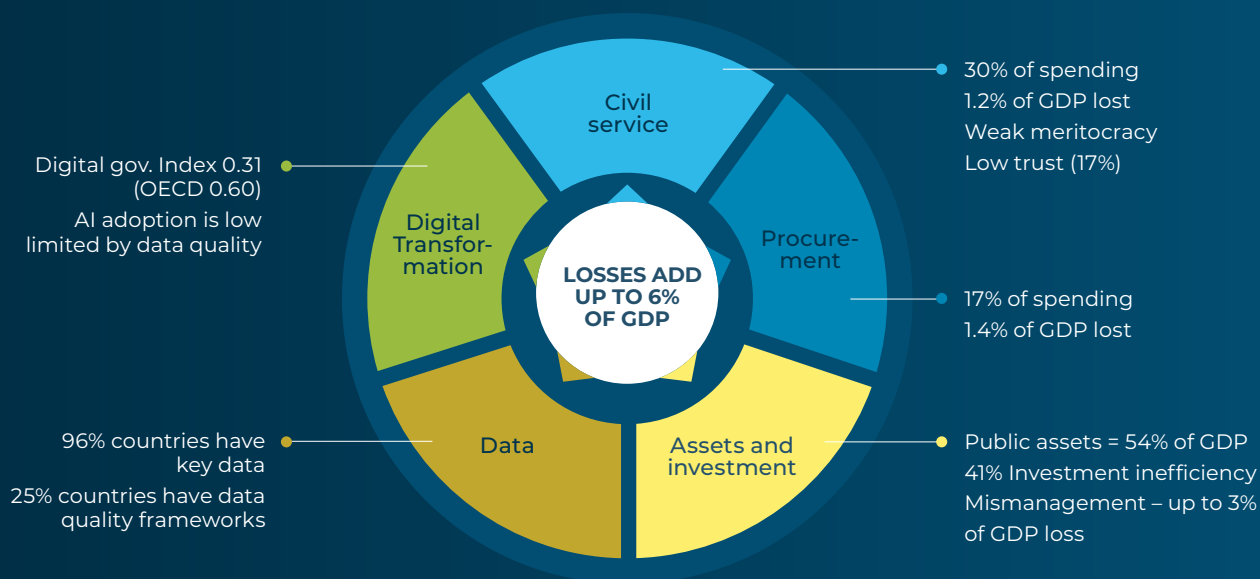
Efficient and effective resource management is essential for translating policies, plans, and budgets into real-world results. While fiscal capacity often dominates policy debates, administrative capacity—the ability to manage human, physical, informational, and digital resources to produce policy outputs and outcomes—is equally essential for implementation.

In LAC, public management systems are often fragmented and inefficient, operating in silos that limit coordination across government. Digital tools offer

opportunities to improve performance and responsiveness, yet their potential remains largely untapped across the region.

The region is characterized by:

Fragmented and ineffective resource management systems



► Strategic and Efficient Public Administration Management Requires:

A professional, meritocratic, and inclusive civil service:

Civil servants play a vital role in policy implementation and service delivery. Yet, in most countries in the region, they are not effectively managed to achieve optimal results, despite accounting for a third of government spending and half of tax revenues. Civil service reform in LAC has slowed, with the Civil Service Development Index rising just two points over the last decade (**Figure 4**).

Weaknesses in merit-based recruitment, performance management, and digital skills persist, contributing to low public trust—only 17 percent of citizens trust officials, while 72 percent believe they act in their own self-interest. Strengthening

civil service capacity requires building systems for merit-based hiring, leadership development, and data-driven HR management.

A strategic and modern approach to public procurement:

Public procurement accounts for 17.4 percent of public spending and 6.6 percent of GDP in Latin America and the Caribbean, yet inefficiencies, fragmentation, and corruption cost around 1.4 percent of GDP each year. Reforms tend to target only the contracting phase, neglecting the full procurement cycle and its alignment with fiscal strategies (Figure 5). To modernize procurement, governments should coordinate all stages of the process and align procurement with planning, budgeting, and policy goals.

Leverage infrastructure and asset management:

Governments in LAC own public assets worth about 54 percent of GDP, but fragmented responsibilities, underfunded maintenance, and incomplete registries result in poor management. Improved oversight and professional management could generate additional revenues equivalent to 3 percent of GDP. The region's public investment inefficiency is 41 percent, mainly due to weak planning, poor project review, and delays—all of which can cut investment value by 30 percent. Data gaps, outdated records, and low-quality information hamper decision making and oversight. Corruption risks further undermine trust and slow essential service delivery. Improving asset registries, strengthening investment planning, and institutionalizing professional management are critical to maximizing infrastructure value and impact.

Better data for better decision-making:

Despite improvements, most LAC countries still face major gaps in statistical and administrative data. The region's Statistical Performance Index averages 66.1, well below Europe and Central Asia's 84. Many NSOs are underfunded, lack autonomy, and operate with outdated laws, often employing underqualified or politically appointed staff, which undermines capacity and trust. Administrative data systems remain basic—96 percent provide only descriptive analytics, with limited diagnostic (55 percent) and predictive (50 percent) capacity. Integration is hindered by fragmentation, incomplete digitalization, and scarce interoperability; fewer than 35 percent of countries have interoperability frameworks and only 25 percent enforce data quality standards. These issues reduce the effectiveness of M&E system, weaken accountability, and hinder evidence-based decision-making. LAC countries need to strengthen legal and institutional data governance, improve data quality and usage, and promote evidence-based public management.

A whole-of-government digital transformation:

Digital government in LAC holds major potential but remains hampered by weak coordination, capacity gaps, outdated regulation, and poor oversight. Nearly all countries (96 percent) have a lead digital agency, yet only 22 percent pursue a whole-of-government approach, and few integrate digital systems into core public management. Severe skill shortages, budget rigidities, and outdated civil service rules limit talent attraction, while most regulatory frameworks predate the digital era—only 22 percent of countries have an AI strategy, and just a quarter have data quality frameworks. Although 80 percent of firms report using AI, and countries such as Brazil, Chile, and Uruguay are advancing public applications, most initiatives remain fragmented and at the pilot scale. Rising cyber threats and a persistent digital divide further constrain progress. Advancing digital transformation requires integrating digital tools into planning, budgeting, and service delivery; strengthening data governance; leveraging AI responsibly; and ensuring cybersecurity resilience.

Strengthening monitoring and evaluation for better decision making:

M&E systems in Latin America and the Caribbean are fragmented and weakly institutionalized, limiting their influence in resource allocation and management. Only three of 13 countries reviewed have well-developed systems, and even there, integration with planning and budgeting is limited. Monitoring often focuses narrowly on budget execution, with limited coverage of results, while evaluation remains rare—only 27 percent of countries conduct it systematically, and findings rarely inform spending decisions. Strengthening M&E requires institutionalization, integration with fiscal processes, and stronger incentives for evidence use in policy and resource allocation..

Strengthen resource management at the sectoral and subnational levels:

Inefficient human resource (HR) practices, politicized hiring, and high turnover drive 60 percent of technical inefficiencies in the most decentralized countries, leaving health, education, and early childhood programs with chronic staffing gaps—especially in rural areas. Procurement failures account for a quarter of all subnational resource waste, while weak investment planning and underfunded maintenance degrade infrastructure and services in water, sanitation, and urban development. Outdated data systems, poor interoperability, and weak M&E frameworks further undermine transparency and evidence-based planning. Building stronger HR systems, modern procurement, and integrated digital and monitoring tools is essential for improving efficiency and sustaining service delivery.

► Where to Focus

Area	Measures we support
Civil service	• Promote merit-based recruitment and the development of Senior Executive Services. • Strengthen strategic workforce planning and performance management through modern HR information systems. • Foster inclusive human resource management. • Ensure that civil service composition and performance contribute to effective service delivery and expenditure efficiency.
Public procurement	• Improve efficiency, competition, and integrity through a whole-of-government approach to supply chain governance.
Infrastructure and asset management	• Strengthen institutional arrangements, investment planning, and maintenance systems. • Asset operation and maintenance via PPP to attract investment and expand fiscal space (IDB Invest)
Statistics and data	• Modernize legal frameworks, professionalize statistical offices, and integrate technology with administrative records. • Increase data demand and promote evidence-based practices in government.
Digital transformation	• Implement whole-of-government digital agendas, data governance frameworks, and cybersecurity preparedness. • Leverage artificial intelligence (AI) in the public sector. • Integrate digital systems with public sector management functions.
M&E systems	• Link M&E systems to planning and budgeting processes.
Strengthen governing bodies and their ministerial units responsible for these areas.	

Opportunity 3: Adaptive Regulatory Frameworks

RULES THAT WORK FOR CITIZENS AND BUSINESSES

Effective regulatory frameworks are essential for achieving economic, social, and environmental goals. They correct market failures, protect consumers, promote fairness, and foster private sector development. When well designed, regulations improve resource allocation, reduce transaction costs, encourage innovation, and uphold the rule of law. However, when poorly designed, regulations fail to improve welfare, suppress competition, raise costs and prices, and erode trust in government.

Yet across LAC, regulatory governance remains fragmented, outdated, and poorly implemented. The region's average score on the World Bank's Regulatory Quality Index declined from 56.8 in 2013 to 51.8 in 2023—well below the OECD average of 87. Many frameworks are not designed with users in mind, rely on inconsistent evidence, and struggle to adapt to changing conditions. Strengthening regulation requires not only better rules but also better rulemaking.

The region is characterized by:

Deficient and ineffective regulatory frameworks

Declining quality standards (-5 pts)



LAC's regulatory quality score
dropped from **56.8 (2013)** to
51.8 (2023) – below OECD
levels of **>87**

Limited assessment (37%) & consultation



Only **37% of LAC
countries** use regulatory
impact assessments;
just **4 systematically
integrate** public feedback

High compliance burden



Starting a business
takes **2,666 hours** on
average in LAC



DIGITAL TRANSFORMATION RISK

Outdated legal frameworks and slow digital reforms
risk replicating inefficiencies rather than solving them

► Stronger, More Adaptive Regulatory Systems Depend on Three Core Enablers:

Clear mandates, coordination, and strategic oversight.

Many countries face fragmented oversight and overlapping mandates, especially in sectors such as environment, transport, and water. Few have regulatory bodies within the CoG that can drive reform or strategic prioritization. In some cases, starting a business can still require thousands of hours due to excessive regulatory burdens. Coordination alone is not enough—regulators often lack the incentives or capacity to assess the costs and impacts of their decisions. Strong central oversight is required to enforce impact assessments, ensure public consultation, and promote transparency.

Modern regulatory tools for adaptive governance.

Effective regulation depends on evidence, feedback, and flexibility. Tools such as regulatory impact assessments (RIAs), ex post reviews, and digital platforms can improve regulatory quality. However, adoption in LAC remains uneven. While all countries allow online consultation, few publish feedback or integrate it into decision-making processes. RIAs should assess market failures, evaluate whether regulations address them effectively, and consider their economic costs and competitive impacts. Few countries in the region conduct these analyses. RIAs are inconsistently applied, often limited to subordinate regulations, and ex post reviews remain rare. Only 37 percent of LAC countries use RIAs at any level, compared with 70 percent in Europe and 80 percent in OECD countries. Baseline data and clear objectives are often missing, making evaluation difficult.

Administrative simplification and regulatory coherence.

Digital tools are increasingly used to streamline procedures and reduce duplication, but implementation remains weak. In all five countries reviewed, regulatory systems still rank in the bottom third of the Ease of Doing Digital Business Index. Simplification efforts must go beyond technology—they require redesigning outdated processes, applying user-centered design, and involving frontline staff to make regulation work in practice.

Strengthen regulatory capacity at sectoral and subnational levels.

Weak legal frameworks, limited technical capacity, and fragile institutions constrain subnational governments' ability to manage resources, enforce rules, or deter corruption. Across sectors—environment, water, energy, justice, health, and early childhood development—overlapping mandates, siloed governance, and political interference undermine coherence and accountability. Many

frameworks lag behind new technologies and evolving risks, while weak and often politicized regulatory bodies lack independence and expertise. Building stronger, more autonomous regulators and clarifying mandates are critical to reducing discretion, preventing capture, and strengthening public trust.

► Where to Focus

Area	Measures we support
Regulatory governance	· Institutionalize good regulatory practices, including RIAs, public consultations, and oversight bodies. · Promote whole-of-government frameworks to improve coordination across sectors and levels of government, aligned with international standards.
Administrative simplification	· Streamline procedures for business entry, licensing, and service delivery through one-stop shops and interoperable registries. · Align regulatory policies across subnational and sectoral levels, and promote digital tools for real-time monitoring and simplification.
Adaptive and innovative regulation	· Support agile regulatory tools such as sandboxes, soft law, and behavioral insights—especially in the digital, health, and finance sectors. · Build capacity for ex ante and ex post regulatory evaluations to anticipate and assess emerging technologies.
Private sector compliance	· Support corporate governance and regulatory compliance among private actors and SOEs to help clients align with reforms.
Digital and data-driven regulation	· Develop digital platforms for public consultations, RIAs, and regulatory inventories. · Strengthen interoperability, data governance, and institutional mandates to support inclusive, evidence-based, and user-centered regulation.

Opportunity 4: Robust Oversight, Compliance, and Enforcement

ACCOUNTABILITY THAT CITIZENS CAN TRUST

The rule of law depends on predictable, transparent, and impartial application of legal frameworks, supported by effective oversight, compliance, and enforcement institutions. Key factors include: (i) transparency, integrity, and accountability (TIA) frameworks; (ii) control institutions such as supreme audit institutions (SAIs) and financial intelligence units (FIUs); (iii) open decision-making processes; and (iv) fair justice services. These elements ensure checks and balances in public administration and influence both integrity and development effectiveness. The roles include fiduciary (SAIs, FIUs, and internal control offices), information (transparency laws and digital platforms), and enforcement institutions (anti-corruption bodies and the judiciary). They aim to reduce corruption and enhance project execution, service delivery, and public trust.

In Latin America and the Caribbean, laws often exist but are weakly enforced, and transparency does not always translate into accountability. The region's Rule of Law Index averages just 0.52—below Europe (0.73) and East Asia (0.59)—with only nine countries scoring above 0.60 and 17 at or below 0.50. Oversight institutions also lag: SAI average 1.7 out of 4 on PEFA's Audit Effectiveness Index, compared with 2.8 in Europe and 2.6 in South Asia.

The region is characterized by:

Limited oversight, compliance and enforcement

Fragmented Institutional Architecture

Siloes and overlap of mandates

Weak Integrity Systems & Enforcement

Rule of Law **0-52** (Europe **0.73**)
5% believe laws are applied equally

Transparency Without Implementation

1/5 citizens report bribes, 100% information laws, 46% implementation

Under-enforced Fiduciary Controls

SAIs score **1.7/4** on audit effectiveness vs. Europe: 2.8

Ineffective Justice & Administrative Systems

Just **6** judges per **100,000** people
→ case delays



LAWS EXIST BUT AREN'T ENFORCED
TRANSPARENCY EXISTS BUT DELIVERS NO ACCOUNTABILITY

► Robust Oversight and Enforcement Needs:

Strengthen transparency, integrity, and accountability frameworks:

Twenty-two LAC countries have adopted access-to-information laws; however, response rates to citizen requests average just 46 percent, and only two-thirds of government websites meet basic usability and transparency standards. Budget openness remains limited, with an Open Budget Index score of around 50 out of 100, compared with 66 in the OECD. Meanwhile, voice and accountability indicators have declined to the 57.7th percentile, down from 87.5th in the OECD. Weak reporting, opaque budgeting, and fragmented information systems undermine oversight and citizen participation. To address these gaps, countries should integrate transparency tools with enforcement mechanisms, user-friendly platforms, and civic oversight to ensure that open data leads to accountability and trust.

Build stronger compliance and enforcement systems:

Supreme audit institutions in the LAC region score low on effectiveness and often lack operational autonomy, while internal audit bodies struggle with limited resources and authority. Although most countries require public officials to file asset declarations, fewer than 10 percent of relevant agencies can effectively verify them. Conflict-of-interest rules are underdeveloped, lobbying registries are rare and unenforced, and whistleblower protections exist in law but are widely distrusted and underused. Reform requires modernizing audit and control institutions, guaranteeing their independence, expanding verification and sanctioning powers, and embedding integrity safeguards supported by digital tools and credible enforcement to enhance deterrence.

Enhance financial integrity through technology and coordination:

Financial integrity units (FIUs) and anti-money laundering systems often face staff shortages, lack access to timely financial data, and operate with limited independence. Legal gaps in data-sharing protocols constrain cooperation, while weak interagency coordination and low adoption of digital tools undermine effectiveness. In several cases, political interference further erodes credibility. Strengthening financial integrity requires investing in independent FIUs, building cross-agency data-sharing frameworks, and adopting digital traceability and advanced analytics to detect and prevent illicit financial flows more effectively.

Reduce opacity and discretion in administrative decision making:

Citizens and businesses frequently encounter vague legal frameworks, excessive discretion, and limited transparency in everyday administrative processes. These conditions discourage investment, enable unequal treatment, and fuel perceptions of favoritism—contributing to LAC’s reputation as the region with the highest global perception of inequality in law enforcement. Governments should simplify regulations, standardize procedures, and expand open, transparent service channels—paired with integrity safeguards and civic participation mechanisms—to reduce discretion and strengthen fairness in public administration.

Promote accessible and impartial justice systems:

Justice institutions in LAC remain underfunded and slow, particularly in civil and administrative jurisdictions. Chronic backlogs in property, labor, family, and commercial disputes limit access to justice, while alternative dispute resolution (ADR) mechanisms remain underused, and most countries lack basic digital tools. Advanced technologies such as AI-assisted case management are virtually absent. Judicial corruption and a lack of impartiality further erode public trust. To build fair and accessible justice systems, governments should

modernize case management with digital solutions, expand ADR mechanisms, and reinforce judicial independence and integrity safeguards to ensure timely, equitable, and transparent resolution of disputes.

Strengthen oversight and enforcement at subnational and sectoral levels:

Accountability is weakest where subnational governments rely on outdated fiscal reporting, limited transparency, and discretionary transfers, which reduce compliance with access-to-information laws and weaken local oversight. Integrity risks are amplified by under-resourced audit bodies and limited audit coverage, driving losses in public investment. Similar gaps affect sectors: justice systems face fragmented mandates and high impunity; extractives and environment suffer from unclear mandates and capture risks; and health, transport, and education struggle with weak procurement, data gaps, and discretionary spending. Outdated legal frameworks, fragile control institutions, and poor digital infrastructure further constrain enforcement, underscoring the need for stronger audit capacity, digital oversight tools, and clearer mandates to rebuild trust.

► Where to Focus

Area	Measures we support
Transparency, Integrity and Accountability	· Implement TIA frameworks and embed integrity safeguards throughout the project cycle. · Strengthen access-to-information systems, open budgeting processes, and e-procurement platforms. · Apply behavioral approaches (e.g., nudges) to foster a culture of accountability.
Oversight Institutions and Anti-corruption	· Modernize SAIs, internal control units, and integrity offices with stronger mandates, adequate staffing, and modern audit methodologies. · Enhance procurement oversight, asset declaration verification, and whistleblower protection systems. · Promote cross-agency coordination and integration with broader public-sector reforms.
Financial Integrity	· Strengthen FIUs and anti-money-laundering (AML) systems through legal reforms, operational autonomy, and inter-agency coordination. · Enable real-time data exchange, AI-based data mining for analytics, and beneficial-ownership registries. · Support peer learning on risk-based supervision and trade-based money-laundering detection. · Support the development and enhancement of private sector internal controls.
Justice and Administrative Systems	· Promote fair, open, and transparent rule-making and reduce discretion in administrative decisions. · Support lobbying registries, conflict-of-interest protocols, and citizen feedback mechanisms. · Strengthen judicial systems through improved staffing, digital justice tools (e.g., e-filing, remote hearings), and expanded alternative dispute resolution mechanisms. · Improve access to justice for vulnerable groups and reduce case backlogs.

► How We Can Help

States are ineffective when public-sector organizations are weak. The IDB Group² works with countries to strengthen state effectiveness on two complementary and overarching fronts:

- Improving critical functions at the CoG and across the public sector's middle and back offices, which are essential for well-performing organizations. Offices of the Presidency, Ministries of Finance, and other core entities provide essential yet less visible public-sector capabilities, including resource generation, allocation and management, regulatory frameworks, and accountability mechanisms that ensure transparency and integrity.
- Strengthening delivery systems at the sectoral and subnational levels—the front-office of the state—which are crucial for translating national policies and sector investments into tangible outcomes.

The IDB Group is a strategic partner in strengthening institutional capacity and the rule of law. It has a team of specialists with strong technical expertise who are familiar with local contexts and maintain an ongoing dialogue with member countries to advise them on the design and implementation of effective policies and practices for stronger institutions. The Bank offers a range of instruments—loans, guarantees, cooperation, and technical assistance—that enable it to provide comprehensive support tailored to existing institutional capacities.

2 The IDB Group also advances this mandate through its private sector operations. IDB Invest contributes by promoting public-private partnerships (PPPs), strengthening transparency, integrity, and corporate governance practices, and supporting compliance and capacity-building efforts in anti-money laundering and counter-terrorism financing (AML/CTF). Through these initiatives, the Group helps ensure that private sector actors operate in alignment with State Effectiveness objectives, fostering stronger institutions and more accountable business environments.

4



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